ADVISORY TO THE EXOS BOARD OF DIRECTORS

SSLC: getting to the ROFR, and the non-consensual options · Board meeting, October 6, 2026

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1. Bottom line

- **SSLC's standalone plan fails without new cash.** On its own books SSLC runs out of liquid resources around mid-December 2026, needs $0.3–0.7M just to finish $984K of prepaid work, and up to ~$1.5M more by June 2027, with its growth plan unfunded and $1.03M of loans outstanding. No source has been identified.
- **The SSLC board is reluctant, not opposed.** Jim: "unlikely to get there… but maybe there exists some compromise." Markus accepts a license conditioned on SSLC failure. Bob offered a springing license and objects to the 2021 price. Nobody would DocuSign on October 2; they re-meet Tuesday 2:00 PM PT with counsel (Danny).
- **A true hostile takeover is not available.** SSLC is a private California corporation; the Wertz family holds a majority (~60% per our records, confirm against the stock ledger). Exos cannot buy control without them.
- **Exos's real leverage is cash timing.** SSLC's December cash cliff arrives before any other funding source. The value-preserving move is a consensual deal offered before that cliff, with a distress-ready fallback prepared quietly with counsel.
- **Recommendation:** Path C — present license now, ROFR as an option, acquisition gated, and a pre-cliff secured bridge as the bridge-to-yes. Do not authorize any adversarial action on October 6.

2. Where we stand after October 2

Item	Status
SSLC board	Jim Wertz (chair), Markus Rufer, Bob, John Quinn (abstains). Alice Wertz attends. Counsel: Danny.
Asks of SSLC	R1 manufacturing license (key) · R2 endorse asset transaction · R3 ROFR reinstatement 6 months + auto-extend during APA · R4 acknowledgment / 120-day no-shop · R5 conduct to closing
Votes needed	John abstains, so 2 of 3 disinterested directors (Jim, Markus, Bob). Markus and Bob have signaled conditional license support.
Sale of substantially all assets	Also needs shareholder approval (Cal. Corp. Code §1001: https://leginfo.legislature.ca.gov/faces/codes_displaySection.xhtml?lawCode=CORP&sectionNum=1001). Wertz decides that vote alone.
Timing	SSLC board Tue 10/6 2:00 PM PT · documents Wed 10/7 · John departs Thu 10/8 for ~3 weeks (Japan, then NYC investors) · SSLC cash cliff ~mid-December · ROFR (if granted) ~April 2027

3. Leverage map

Exos holds	SSLC's pressure points
18% shareholder: inspection rights, can call a special meeting, cumulative voting	Cash: ~2.5 months of runway
Largest non-IM customer (23.6% of FY26 revenue) and funded BLK3 work	IM = 73% of revenue; IM has prepaid $864K

Exclusive 15% sales agent; the ~$800K Japan order rides on Exos	No new government orders under the CR (Bob)
Creditor: $31.2K loan + interest	$543,929 owed to Wertz/Microcosm that they want repaid
A financing (PIPE) that can pay all SSLC debts at face	Growth plan (hires, winder, automation) unfunded
A credible alternative: second-source / licensed tank cell	He-tank 4,400-psi proof failures on Exos's funded article

4. Consensual options to win the ROFR (ranked)

- **1. Unbundle — license first.** Vote R1 alone on Tuesday; it is what the financing needs. Offer "present grant, conditional exercise" (Exos manufactures only for USG work SSLC declines, missed Exos POs, SSLC ceasing operations, or SSLC-requested surge) plus a documentation escrow. This gives Markus and Bob the substance of their springing license while keeping a present right protected under 11 U.S.C. §365(n) (https://www.law.cornell.edu/uscode/text/11/365).
- **2. Bridge the price gap without raising cash price.** Let the Eqvista fairness opinion reset price on current financials, and offer part of consideration as (a) Exos-Scorpius stock after the listing or (b) an earn-out tied to IM tank deliveries and FY27 actuals. Answers Bob's "not much to stockholders" and Jim's "Scorpius has value": if they are right about growth, they are paid for it.
- **3. Make the controlling holder whole.** Microcosm ($451K) and the Wertz note ($92.5K) paid at face at closing (already in R5), plus a capped 6–12-month Microcosm transition-services agreement with a hard sunset. This is Wertz's personal path to yes.
- **4. Solve their December problem — the strongest lever.** Offer, subject to financing and disinterested SSLC approval, a secured working-capital bridge or a prepaid BLK3 tank PO sized to the prepaid-work gap ($300–700K), secured on IP and tooling and credited against the APA price, in exchange for the ROFR and the no-shop. It turns Exos from the party asking into the party rescuing, and gives Exos secured-creditor standing (credit-bid rights under §363(k)) if SSLC fails anyway. [Counsel: insider lending to an insolvent company; EIDL lien priority.]
- **5. People.** Defined roles for Markus (operations), Bob (government BD) and a board or advisory seat for Jim in Exos-Scorpius. Retention offers to Morey and the lead technicians at signing.
- **6. Bring IM inside the tent (with SSLC's consent).** IM wants supply assurance. A combined, funded company with twice the capacity is IM's best outcome. IM's view can move Wertz. Do not contact IM about SSLC without SSLC's consent (interference risk).
- **7. Fix the travel bottleneck.** Authorize a designated Exos officer to sign while John is away so Jim's "take a week" does not become a three-week stall.

5. Non-consensual ("hostile") options — what is actually available

Option	Feasibility	Notes
Buy shares directly from non-Wertz holders / tender	Low	Cannot reach control without Wertz. Transfer restrictions or holder ROFRs in SSLC bylaws/agreements may block it. Any tender offer is subject to anti-fraud rules (15 U.S.C. §78n(e): https://www.law.cornell.edu/uscode/text/15/78n).
Shareholder governance pressure (18%)	Available	Inspect books and records (§1601: https://leginfo.legislature.ca.gov/faces/codes_displaySection.xhtml?lawCode=CORP&sectionNum=1601); call a special meeting at ≥10%

		(§600(d): https://leginfo.legislature.ca.gov/faces/codes_displaySection.xhtml?lawCode=CORP&sectionNum=600); cumulative voting for a director (§708: https://leginfo.legislature.ca.gov/faces/codes_displaySection.xhtml?lawCode=CORP&sectionNum=708); scrutiny of related-party Microcosm fees (§310). Pressure, not control.
Buy SSLC debt	Low–Medium	$543,929 is insider debt (won't sell). Identify the holder of the $321K Bookstore note; if third-party, a discounted purchase gives a creditor seat. The $132K EIDL likely carries an SBA blanket lien — run a CA SOS UCC search first.
Distressed purchase (bankruptcy §363 sale or assignment for benefit of creditors)	Medium, if SSLC fails	Assets bought free and clear (11 U.S.C. §363(f): https://www.law.cornell.edu/uscode/text/11/363). But: the ROFR generally will not bind a trustee; IM is the natural competing bidder or DIP lender; insider bids get heightened scrutiny; the team and IM contracts may scatter. Least value-preserving route.
Build around SSLC (BATNA)	High	Second-source or licensed tank cell for BLK3. Capex ~$0.8–1.5M manual, ~$3M automated; 9–18 months to a qualified tank. Credible alternative strengthens every consensual option.

Constraints the board must respect [Counsel]

- **John's duties as an SSLC director.** He owes SSLC loyalty and confidentiality. He cannot use SSLC board information to plan an adversarial move against SSLC. If the Exos board ever elects a distressed or adversarial path, John should first recuse formally or resign the SSLC seat, and Exos should act only on information it holds as shareholder, customer or creditor, through independent counsel.
- **The license could be challenged if SSLC fails within a year.** An insolvent SSLC granting a perpetual license to an insider for cancellation of a ~$38K antecedent debt invites insider-preference (11 U.S.C. §547: https://www.law.cornell.edu/uscode/text/11/547) and fraudulent-transfer (§548) claims. John accepted this on 10/2. Counsel should look at adding contemporaneous new value (e.g., the Exos-funded He-tank completion work or a PO commitment) and extending the Eqvista opinion to cover the license.
- **One valuation story.** The SSLC-facing documents say standalone value is low; investor materials show "OWN $20–40M." Both will be discoverable in an RTO proxy. Use one line everywhere: standalone SSLC is worth little; value arises inside a funded combined company.
- **No pressure tactics.** The funding-gap briefing to SSLC is factual and uses SSLC's own numbers. Keep it that way. Nothing about distressed purchase goes outside this board.

6. Recommended decision path

Outcome on Tue 10/6	Exos response
Present license granted (as drafted or with conditional-exercise covenant)	Proceed with PIPE/RTO on an Exos-only use of proceeds plus a ~$3–4M tank-capacity reserve. Pursue the ROFR/APA only when gates pass: IM written consent to assignment and ≥6 2027 IM tanks contracted; key-staff retention signed; trailing-two-quarter revenue ≥75% of contracted plan; net cash price ≤ ~$2.6M supported by fairness opinion.
License + ROFR granted	As above, plus begin APA drafting with M&A counsel; offer the pre-cliff secured bridge.
Only a springing license offered	Do not treat it as meeting the financing requirement. Counter with

	conditional exercise. If refused, remove Scorpius from the PIPE story and start the BLK3 second-source plan.
Nothing granted	Exos-only raise; keep the 18%; second-source plan; prepare the distress scenario with counsel and John walled off from SSLC deliberations.
Any path — by ~Nov 20	If IM has not committed to fund or prepay SSLC's gap, take the secured-bridge offer through SSLC's disinterested directors before the December cliff.

7. Resolutions proposed for the Exos board (October 6)

- **R1.** Authorize the CEO to continue the consensual license-first path and to accept a "present grant, conditional exercise" license with documentation escrow.
- **R2.** Authorize negotiation of price consideration that includes post-listing stock and/or an IM-delivery earn-out, within the range supported by the Eqvista fairness opinion. [Board to set ceiling.]
- **R3.** Authorize management to offer SSLC, conditioned on financing and disinterested SSLC approval, a secured working-capital bridge or prepaid PO of up to $[board to set] credited against the APA price.
- **R4.** Direct management and M&A counsel to prepare contingency analysis: SSLC governing documents and transfer restrictions, CA SOS UCC lien search, holder of the Bookstore note, and a distressed-acquisition playbook. No adversarial action without a further board vote.
- **R5.** Direct qualification of a BLK3 second-source tank path.
- **R6.** Designate [officer] to sign SSLC-related documents while the CEO travels October 8–~29.

Not authorized today: any tender offer, debt purchase, or distressed-acquisition step.

Sources: SSLC QuickBooks (10/2), SSLC FY26 management report (8/21), SSLC Annual_Projection_summaries.xlsx, SSLC board meeting record (10/2/2026), SSLC Board Decision Package and Funding-Gap Briefing (10/6), Exos research note B (10/3). Legal references linked inline; confirm with counsel.